

if you just sit on the stocks and wait a little bit longer. This is absolutely true and if you are a very patient person, you are very likely to make money from the stock markets by just buying and holding. From 1976 to 2011, the MSCI World Index rose by 1,300%, so in 35 years you would have made over ten times your initial investment. Of course, if you translate that into annual compound return, you will see that this means a yield of just around 8% per year. If you had been so unlucky as to invest in 1999 instead, you would still hold a loss 13 years later of over 20%. Had you invested in 2007, your loss would be even greater. Although equities do tend to move up in the long run, most of us cannot afford to lose a large part of our capital and wait for a half a lifetime to get our money back. If you are lucky and invest in a good year or even a good decade, the buy-and-hold strategy may work out but it can also turn out to be a really bumpy ride for quite a low return in the end. Going back to the 1,000% or so made on an investment from 1976 to 2011, the largest drawdown during this period was 55%. Looking at the buy-and-hold strategy from a long-term return to risk perspective, that means that in order to get your 8% or so return per year, you must accept a risk of losing more than half of your capital, which would translate to close to seven years of average return.

You may say that the 55% loss represents only one extreme event, the 2008 credit meltdown, and that such scenarios are unlikely to repeat, but this is not at all the case. Let's just look at the fairly recent history of these so-called once-in-a-lifetime events. In 1974, the Dow Jones Industrial average hit a drawdown of 40%, from which it took over six years to recover. In 1978, the same index fell 27% in a little over a year. The same thing happened again in 1982 when the losses amounted to 25% in about a year. From the peak in August 1987 to the bottom in October, the index lost over 40%. Despite the bull market of the 1990s, there were several 15–20% loss periods and when the markets turned down in 2000, the index had lost about 40% before hitting the bottom. What you need to ask yourself is just how high an expected compound return you need to compensate for the high risks of the stock markets, and whether you are happy with single-digit returns for that level of volatility.

If you do choose to participate in the stock markets through an equity mutual fund, you have one more factor to consider, and that is whether or not the mutual fund can match or beat the index it is supposed to be tracking. A mutual-fund manager, as opposed to a hedge-fund manager, is tasked with trying to beat a specific index and, in the case of an equity fund, that index would be something like the S&P 500, the FTSE 100, the MSCI